

Circular D-02 — Basel IV Phase 2 Output Floor — Revised Parallel Run Deadline

Reference:	FRA/D/2025/002	Issue Date:	28 Apr 2025
Effective Date:	01 Jan 2026	Response Deadline:	30 Sep 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Deadline Change

The Basel IV Phase 2 parallel run start date is extended from 1 Apr 2025 to 1 Jul 2025. The full implementation deadline of 1 Jan 2026 is unchanged. The Parallel Run Report submission deadline is extended from 30 Jun 2025 to 30 Sep 2025.

2. Output Floor

From 1 Jan 2026 RWAs must not fall below 72.5% of the Standardised Approach output floor. Firms must continue systems preparation to meet the unchanged implementation date.

3. No Further Changes

This is the final extension to Phase 2 milestones. The Phase 3 timeline (75% floor from Jan 2027, 72.5% from Jan 2028) is unaffected.